

Nepal Banking Regulatory Compliance — Data Requirements Analysis

ESRM Guidelines | Green Finance Taxonomy 2024 | NSRS

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Executive Summary

Nepal's banking sector operates under three interconnected sustainability and environmental regulatory frameworks, each issued by a different authority and targeting different aspects of bank operations. Together, they create a comprehensive compliance landscape that requires banks and financial institutions (BFIs) to collect, maintain, and report an extensive range of environmental, social, and climate-related data.

This document analyzes the specific data that Nepali banks must collect and manage to comply with: (1) the ESRM Guidelines issued by Nepal Rastra Bank (NRB), which govern transaction-level environmental and social risk screening; (2) the Green Finance Taxonomy 2024, also from NRB, which classifies the bank's entire loan and investment portfolio by environmental impact; and (3) the Nepal Sustainability Reporting Standards (NSRS) from the Accounting Standards Board (ASB) Nepal, which will mandate entity-level climate and sustainability disclosures aligned with international IFRS standards.

Regulatory Framework Overview

Regulation	Issuing Authority	Status	Scope	Primary Function
ESRM Guidelines	Nepal Rastra Bank (NRB)	Mandatory since May 2018	All BFIs (Class A, B, C)	Transaction-level E&S risk screening and due diligence

Regulation	Issuing Authority	Status	Scope	Primary Function
Green Finance Taxonomy 2024	Nepal Rastra Bank (NRB)	Published October 2024	BFI, capital markets, insurance	Portfolio-level green/amber/red classification
NSRS (Nepal Sustainability Reporting Standards)	Accounting Standards Board (ASB) Nepal	Draft consultation (feedback closed August 2025)	Banks, insurers, manufacturers, listed entities	Entity-level sustainability and climate disclosures

These three frameworks operate at different levels — transaction, portfolio, and entity — but share significant data dependencies. Environmental data collected at the transaction level under ESRM feeds into the portfolio classification under the Taxonomy, which in turn provides the quantitative base for entity-level disclosures under NSRS.

ESRM Guidelines: Data Requirements

Applicability and Transaction Thresholds

The ESRM Guidelines apply to all BFIs engaged in any of the following transaction types: SME finance, commercial leasing, business working capital/term finance, and project finance. The depth of data collection required varies by transaction size and sector.

Transaction Category	Threshold	Required E&S Screening
All business-purpose loans	Any amount	Exclusion List screening (Annex 4)
Small loans in non-critical sectors	Below NPR 10 million (~USD 100,000)	Exclusion list + national law compliance check
Small loans in critical sectors	Below NPR 10 million	Exclusion list + sector-specific ESDD Checklist
Term Finance	NPR 10 million and above	Full ESDD Checklist (Annex 5) + risk rating

Transaction Category	Threshold	Required E&S Screening
Project Finance	All amounts	Comprehensive ESDD + Environmental Management Plan

Environmental and Social Management System (ESMS)

Every BFI must develop, implement, and maintain a formal Environmental and Social Management System (ESMS) consistent with national laws and progressively aligned with IFC Performance Standards on Environmental and Social Sustainability. The ESMS requires the following institutional data and documentation:

ESMS Policy and Governance Data

Data Element	Description	Reporting Frequency
E&S Policy document	Board-approved policy covering environmental and social risk management commitment, scope, and accountability	Updated as needed; reviewed annually
ESRM organizational structure	Designated E&S officer/unit, reporting lines, roles and responsibilities	Maintained continuously
Staff training records	Records of ESRM training for relationship managers, loan officers, credit committee	Annual reporting to NRB
E&S risk appetite statement	Board-level articulation of acceptable E&S risk thresholds	Annual review
Integration with credit risk	Documentation showing E&S factors integrated into credit approval workflow	Maintained continuously

Transaction-Level Data Collection

Step 1: Exclusion List Screening (Annex 4)

For every business-purpose loan application (new, renewal, rescheduling, or restructuring), the BFI must screen the borrower's activities against the NRB Exclusion List. This list prohibits financing activities involving forced/child labor, production of illegal substances, trade in wildlife products,

production of banned hazardous substances, and other activities prohibited under Nepali law. The bank must record the screening result (pass/fail) and the date of screening.

Step 2: Loan Categorization

After passing the exclusion screening, the loan is categorized by size and sector criticality. The bank must capture the loan amount, sector classification, whether the sector is designated as "critical" (high environmental/social impact sectors such as extractives, large infrastructure, chemicals, forestry), and the resulting E&S risk category.

Step 3: ESDD Checklist Data (Annex 5)

For transactions meeting the threshold (NPR 10 million or above, or any amount in critical sectors), the Relationship Manager or Loan Officer must complete the Environmental and Social Due Diligence (ESDD) Checklist. This is the most data-intensive step and requires:

ESDD Data Category	Specific Data Points Required
Borrower identification	Legal name, business registration, industry sector code, geographic location of operations
Environmental permits and licenses	Environmental Impact Assessment (EIA) or Initial Environmental Examination (IEE) approval status, renewal dates, issuing authority, conditions attached
Land use and resettlement	Land ownership documentation, whether involuntary resettlement is involved, resettlement action plan status
Pollution and emissions	Types of pollutants generated, waste management practices, wastewater treatment, air emissions data, compliance with Nepal's Environment Protection Act
Biodiversity and natural habitats	Proximity to protected areas, national parks, or critical habitats; impact assessment on flora/fauna
Labor and working conditions	Employment practices, occupational health and safety measures, labor law compliance, presence of unions, child/forced labor risk
Community health and safety	Impact on surrounding communities, community consultation records, grievance mechanisms
Indigenous peoples	Whether indigenous communities are affected, Free Prior and Informed Consent (FPIC) documentation if applicable

ESDD Data Category	Specific Data Points Required
Cultural heritage	Proximity to and potential impact on cultural heritage sites
Hydropower-specific criteria	Dam safety assessments, downstream flow requirements, fish passage, cumulative impact assessment (given Nepal's hydropower emphasis)

Step 4: E&S Risk Rating

The completed ESDD Checklist auto-generates a risk rating of High, Medium, or Low. This rating, along with the underlying data, must be included in the loan proposal submitted to the credit authority. The bank must store the risk rating, the date of assessment, the assessor's identity, and any conditions or mitigation measures required.

Step 5: E&S Action Plans and Covenants

For High and Medium risk-rated transactions, the BFI must document specific E&S conditions in the loan agreement, including environmental management plans, monitoring schedules, and corrective action timelines. Compliance with these covenants must be tracked during the loan's life.

NRB Reporting Data (Quarterly and Annual)

BFI's must report the following aggregate data to NRB on a regular basis:

Metric	Frequency	Description
Loans rejected due to Exclusion List	Quarterly	Count of applications rejected because the borrower's activities appeared on the Exclusion List
Transactions subject to ESDD	Quarterly	Number of transactions that underwent the full ESDD checklist process
ESDD share of total portfolio	Quarterly	Percentage of the total loan portfolio (by value) that has been subject to ESDD
Disbursements by E&S risk rating	Quarterly	Total number and monetary value of disbursements segmented by High, Medium, and Low risk ratings
E&S incidents and breaches	Annual	Reported environmental or social incidents linked to financed activities

Metric	Frequency	Description
ESMS implementation status	Annual	Progress report on ESMS development, staff training, and integration into credit processes
Sustainability performance summary	Annual	Overall narrative and quantitative summary reported to NRB and disclosed to shareholders/stakeholders

Green Finance Taxonomy 2024: Data Requirements

Classification Framework

The Nepal Green Finance Taxonomy 2024 requires BFIs to classify every economic activity in their lending and investment portfolios according to its environmental impact. The classification system uses a traffic-light approach (Green, Amber, Red) assessed against four core environmental objectives:

Environmental Objective	Code	Description
Climate Change Mitigation	M	Activities that contribute to reducing or avoiding GHG emissions or enhancing carbon sinks
Climate Change Adaptation	A	Activities that enhance resilience to current and expected climate change impacts
Natural Resource Conservation and Management	N	Activities that protect, restore, or sustainably manage natural resources and ecosystems
Pollution Prevention and Control	P	Activities that prevent, reduce, or remediate pollution of air, water, and soil

Traffic-Light Classification Data

For each loan or investment, the BFI must determine and record the classification:

Category	Criteria	Financial Implications	Data Required from Borrower
Green	Zero or near-zero carbon emissions; substantial contribution to at least one environmental objective; DNSH on all others	Favorable loan terms, lower interest rates, preferential risk weights	Verified emissions data, environmental certifications, impact metrics
Amber	Low carbon emissions; transition activities moving toward green; partial contribution to environmental objectives	Standard terms with improvement conditions	Transition plan, emissions trajectory, timeline for green alignment
Red	High carbon emissions; significant negative environmental impact; no transition pathway demonstrated	Higher interest rates, higher risk weights, possible divestment timeline	Current emissions data, pollution records, explanation of environmental impact

Sector-Specific Data Requirements

The Taxonomy covers a broad range of economic sectors, each with specific classification criteria. Banks must collect sector-relevant environmental data for classification:

Sector	Key Data Points for Classification
Agriculture	Irrigation methods (smart/traditional), soil management practices, pesticide/fertilizer usage, livestock farming methods, climate-smart agriculture certifications
Energy	Energy source (renewable/fossil), generation capacity, grid emissions factor, energy efficiency metrics, decommissioning plans for fossil assets
Construction	Building energy performance, materials sourcing, green building certifications (LEED, EDGE), embodied carbon data, waste management
Transportation	Fleet emissions data, fuel type, electrification plans, public transit contributions, logistics efficiency metrics

Sector	Key Data Points for Classification
Forestry and Fisheries	Sustainable harvesting certifications, reforestation data, biodiversity impact assessments, marine ecosystem impact
Tourism	Carbon footprint per visitor, waste management, water usage, eco-tourism certifications, community benefit sharing
Manufacturing	Process emissions, energy intensity, circular economy practices, pollution control technology, waste recycling rates
Communications/ICT	Data center energy efficiency (PUE), renewable energy usage, e-waste management
Finance/Insurance	Financed emissions, green portfolio ratio, climate risk exposure of investee companies

Do No Significant Harm (DNSH) Data

A critical requirement of the Taxonomy is that any activity classified as Green must demonstrate that it does no significant harm to the other three environmental objectives it does not substantially contribute to. BFI’s must collect DNSH evidence for each Green-classified asset:

If Contributing To	Must Demonstrate DNSH On
Climate Mitigation (M)	Adaptation (A), Natural Resources (N), Pollution (P)
Climate Adaptation (A)	Mitigation (M), Natural Resources (N), Pollution (P)
Natural Resources (N)	Mitigation (M), Adaptation (A), Pollution (P)
Pollution Prevention (P)	Mitigation (M), Adaptation (A), Natural Resources (N)

Portfolio-Level Reporting Data

Beyond transaction-level classification, BFI’s must maintain and report portfolio-level aggregates to NRB and for supervisory purposes:

Portfolio Metric	Description
Green Asset Ratio	Proportion of total lending/investment portfolio classified as Green (by value)

Portfolio Metric	Description
Amber Asset Ratio	Proportion classified as Amber, with transition timelines
Red Asset Ratio	Proportion classified as Red, with divestment or transition plans
Sector breakdown by classification	Green/Amber/Red distribution across each economic sector
Green bond issuance data	Volume, use of proceeds, alignment with ICMA Green Bond Principles 2021
Year-over-year transition tracking	Movement of assets from Red to Amber to Green over reporting periods
Climate finance flows	Total volume of new financing directed to Green-classified activities

Nepal Sustainability Reporting Standards (NSRS): Data Requirements

Framework and Alignment

The NSRS, developed by ASB Nepal, aligns with IFRS S1 (General Sustainability Disclosures) and IFRS S2 (Climate-Related Disclosures) issued by the International Sustainability Standards Board (ISSB). The standards mandate disclosures across four core pillars — Governance, Strategy, Risk Management, and Metrics and Targets — consistent with the TCFD recommendations. Nepal's stated goal is net-zero emissions by 2045, and the NSRS is designed to drive transparent reporting toward that target.

Pillar 1: Governance Disclosures

Banks must disclose the governance processes, controls, and procedures used to monitor, manage, and oversee sustainability-related risks and opportunities:

Governance Data Element	Specific Disclosure Required
Board oversight structure	Which board committee(s) oversee sustainability; terms of reference; frequency of sustainability agenda items
Management accountability	Designated management roles for sustainability; reporting lines to the board; how sustainability performance affects remuneration
Skills and competencies	Relevant sustainability expertise on the board and in management; training programs
Sustainability integration	How sustainability considerations are factored into strategic decisions, capital allocation, and risk management

Pillar 2: Strategy Disclosures

Banks must describe sustainability-related risks and opportunities that could reasonably affect their business model, strategy, and cash flows:

Strategy Data Element	Specific Disclosure Required
Risk and opportunity identification	Description of each material sustainability risk/opportunity, including physical climate risks (flooding, drought, glacial melt in Nepal's context) and transition risks (policy changes, carbon pricing)
Business model impact	How identified risks affect the bank's current business model, revenue streams, and cost structure
Transition plans	Plans for transitioning the portfolio in response to climate risks, including decarbonization targets and green finance growth targets
Scenario analysis	Resilience of the business model under multiple climate scenarios (at minimum, a 1.5°C and a higher-warming scenario), covering short, medium, and long-term horizons
Financial effects	Anticipated financial effects of sustainability risks on assets, liabilities, income, expenses, and cash flows over different time horizons

Pillar 3: Risk Management Disclosures

Banks must describe the processes used to identify, assess, prioritize, and monitor sustainability-related risks:

Risk Management Data Element	Specific Disclosure Required
Identification processes	How the bank identifies sustainability and climate risks across its lending portfolio, operations, and supply chain
Assessment methodology	Tools and frameworks used to assess the magnitude and likelihood of risks (link to ESRM screening for banking context)
Prioritization criteria	How sustainability risks are prioritized relative to other business risks
Monitoring and review	Frequency and method of ongoing monitoring; escalation procedures; integration with enterprise risk management
Integration with overall risk	How sustainability risk management connects to the bank's overall risk management framework, including credit risk and operational risk

Pillar 4: Metrics and Targets

This is the most data-intensive pillar for banks. NSRS, following IFRS S2, requires quantitative climate metrics:

Greenhouse Gas Emissions (Mandatory)

Emissions Category	What Banks Must Report	Methodology
Scope 1 — Direct emissions	Emissions from bank-owned/controlled sources: owned vehicles, generators, office heating/cooling	GHG Protocol Corporate Standard (2004)
Scope 2 — Indirect (energy)	Emissions from purchased electricity, steam, heating, and cooling consumed by bank branches and offices	GHG Protocol; location-based and market-based methods
Scope 3 — Value chain (including	Category 15: Emissions attributable to the bank's lending and investment portfolio.	PCAF (Partnership for Carbon Accounting

Emissions Category	What Banks Must Report	Methodology
financed emissions)	This is typically the dominant category for financial institutions	Financials) standard for financed emissions

Note: NSRS provides first-time adopter relief by temporarily exempting Scope 3 disclosures and comparative data. However, banks should begin building data collection systems for financed emissions immediately.

Climate-Related Targets

Target Data Element	Description
Emissions reduction targets	Absolute and/or intensity-based GHG reduction targets, aligned with Nepal's 2045 net-zero commitment
Green portfolio targets	Targets for increasing the proportion of Green-classified assets (links to Taxonomy)
Interim milestones	Short-term and medium-term milestones toward long-term targets
Progress tracking	Year-over-year performance against each target, with explanation of variances
Carbon credit usage	If applicable, disclosure of carbon credit purchases and their role in meeting targets

Industry-Specific Metrics for Financial Institutions

Banking-Specific Metric	Description
Financed emissions	Total GHG emissions attributable to the bank's lending and investment activities, disaggregated by asset class and sector
Weighted average carbon intensity	Carbon intensity of the portfolio weighted by exposure
Climate-sensitive sector exposure	Lending exposure to sectors highly vulnerable to climate transition (fossil fuels, heavy industry, agriculture)

Banking-Specific Metric	Description
Physical risk exposure	Portfolio exposure to assets in regions vulnerable to physical climate impacts (flooding, landslides, glacial lake outburst floods — particularly relevant in Nepal)
Green-to-brown ratio	Ratio of Green-classified financing to Red-classified financing (bridges to Taxonomy data)

Consolidated Data Requirements: Integrated View

The three regulatory frameworks create a layered compliance architecture. Data collected under one framework frequently serves as input for another. The following analysis maps the data flow and identifies where requirements overlap.

Data Flow Between Frameworks

Data Collected Under	Feeds Into	How It Is Used
ESRM — Exclusion List screening	Taxonomy classification	Excluded activities are automatically classified Red under the Taxonomy
ESRM — ESDD risk ratings	Taxonomy classification	E&S risk data informs Green/Amber/Red determination for individual loans
ESRM — Sector classification	Taxonomy sector mapping	Critical sector designations align with Taxonomy sector-specific criteria
ESRM — Borrower environmental permits	Taxonomy DNSH assessment	Permit and compliance data serves as DNSH evidence
Taxonomy — Green/Amber/Red classification	NSRS portfolio metrics	Green Asset Ratio and sector exposure data feed directly into NSRS metrics disclosures
Taxonomy — Borrower emissions data	NSRS Scope 3 / financed emissions	Transaction-level emissions collected for Taxonomy classification aggregate into

Data Collected Under	Feeds Into	How It Is Used
		portfolio-level financed emissions under NSRS
Taxonomy — Transition plans	NSRS strategy disclosures	Amber-classified borrower transition plans inform the bank's own transition strategy disclosures
NSRS — Scenario analysis	ESRM risk appetite	Climate scenario outcomes may inform updates to the bank's E&S risk appetite and ESRM thresholds

Master Data Requirements Summary

The following table consolidates every major data element a Nepali bank must collect, maintain, and report across all three frameworks:

Data Domain	ESRM	Taxonomy	NSRS
Borrower environmental permits/EIA	Required (ESDD)	Required (DNSH evidence)	Informs risk identification
Sector/industry classification	Required (categorization)	Required (sector-specific criteria)	Required (sector exposure metrics)
Borrower GHG emissions	Partial (pollution data in ESDD)	Required (Green/Amber/Red threshold)	Required (Scope 3 financed emissions)
Loan E&S risk rating	Required (auto-generated by ESDD)	Informs classification	Informs risk management disclosure
Exclusion list screening results	Required (Step 1)	Informs Red classification	Not directly required
Portfolio Green/Amber/Red breakdown	Not required	Core requirement	Required (Metrics and Targets)
Climate scenario analysis	Not required	Not required	Required (Strategy pillar)

Data Domain	ESRM	Taxonomy	NSRS
Board sustainability governance	ESMS governance structure	Not directly required	Required (Governance pillar)
Transition plans (borrower)	E&S Action Plans for high-risk	Required for Amber classification	Required (Strategy pillar)
Transition plans (bank-level)	Not required	Not directly required	Required (Strategy pillar)
Scope 1 and 2 emissions (bank operations)	Not required	Not required	Required (Metrics pillar)
Financed emissions (Scope 3)	Not required	Partial (borrower emissions)	Required (Metrics pillar)
Community and social impact data	Required (ESDD)	Not directly required	May be material under IFRS S1
Hydropower-specific assessments	Required (special criteria)	Relevant to energy sector classification	Physical risk context for Nepal
Training and capacity records	Required (ESMS)	Not required	Governance disclosures

Implementation Considerations for Banks

Phased Adoption Timeline

Phase	Timeframe	Actions
Immediate compliance	Current	Full ESRM compliance (mandatory since 2018); begin portfolio classification under Taxonomy
Near-term (2025–2026)	12–18 months	Complete Taxonomy portfolio mapping; build emissions data collection from borrowers; prepare for NSRS adoption

Phase	Timeframe	Actions
Medium-term (2026–2028)	2–3 years	First NSRS disclosures (with first-time adopter reliefs); Scope 1 and 2 reporting; begin Scope 3 data systems
Full compliance	3–5 years	Full NSRS disclosures including Scope 3 financed emissions; scenario analysis; integrated sustainability reporting

Key Data Infrastructure Needs

To comply across all three frameworks, banks will need to build or acquire systems for: centralized ESG data management connecting loan origination to portfolio reporting, borrower emissions data collection and verification processes, climate scenario analysis modeling capability, automated Taxonomy classification linked to the loan management system, ESDD workflow digitization with auto-generated risk ratings, and portfolio-level aggregation and NRB reporting pipelines. The most significant investment will be in financed emissions data infrastructure, as Scope 3 reporting under NSRS requires emissions data from every borrower in the portfolio — a capability that very few Nepali banks currently have.

Sources

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